

6.3 FISCAL BALANCE AND TRADE BALANCE

MARKING SCHEME

1996/AL/II/26 A	2012/DSE/I/31 C (40%)	2016/DSE/I/39 A (69%)	2017/DSE/I/39 D (51%)	2019/DSE/I/40 A
2003/AL/II/26 C	2013/DSE/I/31 B (45%)	2016/DSE/I/40 C (34%)	2018/DSE/I/36 D (62%)	2021/DSE/I/29 D
2021/DSE/I/37 A	2023/DSE/I/45 C	2025/DSE/I/13 A	2025/DSE/I/14 D	2025/DSE/I/38 D

2002/AL/II/6

- (a) The 3rd explanation, fall in exports, can be a common cause of unemployment and the twin deficits.

$$X \downarrow \Rightarrow AD \downarrow \Rightarrow$$

$Y \downarrow \Rightarrow$ [Effect 1:] unemployment

$Y \downarrow \Rightarrow$ [Effect 2:] tax revenue $\downarrow \Rightarrow$ fiscal deficit

$Y \downarrow \Rightarrow$ [Effect 3:] imports $\downarrow \Rightarrow$ trade deficit

[since the effect of ΔX on NX is bigger than its effect through ΔM , i.e. $X \downarrow > M \downarrow$]

Note: For a given size of the workforce, an increase in unemployment implies a decrease in labour employment, which implies in turn a decrease in output (Y), given the production technology and other factors of production.

- (b) Fiscal contraction has the following consequences:

$$G \downarrow \text{ and } T \uparrow \Rightarrow AD \downarrow \Rightarrow$$

$Y \downarrow \Rightarrow$ [Effect 1:] unemployment

$Y \downarrow \Rightarrow$ [Effect 2:] tax revenue $\downarrow$ but fiscal balance still $\uparrow$

[because the effect of ΔG on $(T - G)$ is bigger than its effect through ΔT , i.e. $G \downarrow > T \downarrow$]

$Y \downarrow \Rightarrow$ [Effect 3:] imports $\downarrow \Rightarrow$ trade balance $\uparrow$

(No,) this single stone can at best kill two birds, but not all three.

2006/AL/II/6(a)(i)

Income taxes as expenditure-reducing policy

Income tax rate $\uparrow$

$\Rightarrow$ disposable income $\downarrow$

$\Rightarrow$ consumption demand and import expenditure

$\Rightarrow$ improvement in trade balance (given exports) $\downarrow$

2023/DSE/II/12d

- (d) Marks for effective communication (EC: max 2 marks)

Marks	Performance
2	• Support arguments with the source/data and appropriate economic theories. • Present relevant material. • Present well-organised and coherent answers without repetition of ideas. • Use language that expresses ideas clearly and fluently with appropriate use of words/terms/symbols.
1	• Present arguments with some support of the source/data and economic theories. • Present some irrelevant material. • Present answers in a less organised way with some repetition. • Use language that conveys a clear message with some inappropriate use of words/terms/symbols.
0	• Present arguments with no support of the source/data and economic theories. • Present material unrelated to the gist of the question. • Present inconsistent arguments. • Express limited ideas with inappropriate use of words/terms/symbols.